

**BEFORE THE
FEDERAL MARITIME COMMISSION**

20230930-DK-BUTTERFLY-1, INC.	)	
	)	
	)	
<i>Complainant,</i>	)	
	)	
v.	)	
	)	
HMM COMPANY LIMITED	)	
	)	
	)	
	)	
<i>Respondent.</i>	)	
	)	

DOCKET NO. 26-01

RESPONDENT’S PARTIAL MOTION TO DISMISS

Joshua Stein
Christopher Raleigh
Rachel Schwartz
Henry Kim
COZEN O’CONNOR
2001 M Street NW
Suite 500
Washington, DC 20036
(202) 463-2500

Dated: January 27, 2026

Table of Contents

	<u>Page</u>
I. INTRODUCTION AND BACKGROUND	1
II. APPLICABLE LEGAL STANDARD	2
III. TWO OF BBY's CLAIMS SHOULD BE DISMISSED	3
A. BBY Fails To State A Claim Under Section 41104(a)(2).....	3
B. BBY Fails To State A Claim Under Section 41104(a)(10).....	5
IV. CONCLUSION	8

TABLE OF AUTHORITIES

	Page(s)
 Cases	
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009)	5
<i>Bell Atlantic Corp. v. Twombly</i> , 550 U.S. 544 (2007)	5
<i>MAVL Capital Inc. v. Marine Transport Logistics, Inc.</i> , Docket No. 16-16, 2020 FMC LEXIS 216 (FMC Oct. 29, 2020)	3
<i>Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.</i> , Docket No. 09-01, 32 S.R.R. 126, 2011 FMC LEXIS 12 (FMC Aug. 1, 2011)	4
<i>MSRF, Inc. v. HMM Co. Ltd.</i> , Docket No. 22- 20, 2023 WL 8242695 (ALJ Nov. 22, 2023)	7
<i>Negron v. USAA Casualty Ins. Co.</i> , 2014 U.S. Dist. LEXIS 125179	4
<i>New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans</i> , 29 S.R.R. 345 (ALJ 2001), <i>aff’d</i> 29 S.R.R. 1066 (FMC 2002)	7, 8
<i>New Orleans Stevedoring Company v. Federal Maritime Commission</i> , 30 S.R.R. 1066 (D.C. Cir. 2002)	7,8
 Statutes	
46 U.S.C. §41104(a)(2)	4, 5
46 U.S.C. §41104(a)(10)	6
Public Law 98-237 (March 20, 1984)	6
Public Law 105-258 (October 14, 1998)	6
Shipping Act	<i>passim</i>
 Other Authorities	
<i>Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier</i> , 88 Fed. Reg. 38789, 38791 (June 14, 2023)	7
Federal Rule of Civil Procedure 12(b)(1)	3
Federal Rule of Civil Procedure Rule 12(b)(6)	3

Rule 12 (46 C.F.R. §502.12).....	3
----------------------------------	---

**BEFORE THE
FEDERAL MARITIME COMMISSION**

	)	
20230930-DK-BUTTERFLY-1, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	
	)	
HMM COMPANY LIMITED	)	
	)	
	)	
Respondent.	)	
	)	

DOCKET NO. 26-01

**MEMORANDUM IN SUPPORT OF
RESPONDENT’S PARTIAL MOTION TO DISMISS**

Respondent HMM Company Limited (“HMM”), through undersigned counsel, hereby moves to dismiss two of the five claims contained in Complainant 20230930-DK-Butterfly-1, Inc.’s Complaint (“Complaint”).

I. INTRODUCTION AND BACKGROUND

This case arises out of service contracts between Complainant 20230930-DK-Butterfly-1 (“BBBY”), a U.S. importer, and HMM, an ocean carrier. The parties entered into two separate service contracts: one service contract for the period of July 1, 2020 through June 30, 2021 (the “2020 Service Contract”) and a second for the period of May 1, 2021 through April 30, 2022 (the “2021 Service Contract” and, collectively with the 2020 Service Contract, the “Service Contracts”).¹ The Service Contracts each specified minimum quantity commitments (“MQCs”)

¹ The Service Contracts include, but are not necessarily limited to, contracts numbered 2025061 (2020 Service Contract) and 2125061 (2021 Service Contract); both are filed with the Commission in accordance with 46 C.F.R.

of cargo to be shipped and corresponding service commitments by HMM to provide vessel space sufficient to carry those MQCs.²

BBBY alleges that HMM failed to meet the service commitments under the Service Contracts and sought to impose on BBBY rates and charges in excess of those set forth in the service contract. Complaint, ¶ 5. BBBY alleges that these purported actions by HMM violated several different provisions of the Shipping Act of 1984, as amended (the “Act”) BBBY alleges a total of five causes of action. HMM moves to dismiss two of the causes of action, BBBY’s claims under 46 U.S.C. § 41104(a)(2) and 46 U.S.C. § 41104(a)(10).

II. APPLICABLE LEGAL STANDARD

The Commission’s rules of practice and procedure do not explicitly provide for motions to dismiss. However, Rule 12 (46 C.F.R. §502.12) states that the Federal Rules of Civil Procedure (“FRCP”) are followed in instances that are not covered by the Commission’s rules, to the extent that the application of the FRCP is consistent with sound administrative practice.

The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *6 (FMC Oct. 29, 2020). The Commission has stated:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter,

Part 530, and the Commission may take official notice of them pursuant to 46 C.F.R. § 502.226. The term of the 2020 Service Contract was amended to terminate on April 30, 2021 pursuant to Amendment 8 dated as of April 15, 2021.

² Given that the conduct herein at issue occurred prior to June 16, 2022, the changes made to the Shipping Act of 1984 by the Ocean Shipping Reform Act of 2022 (which became law on June 16, 2022) are not applicable to this proceeding. See *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co.*, Docket No. 23-12, Order Granting Respondent’s Partial Motion to Dismiss at 5 (March 25, 2024) Discussion herein of the relevant statutory provisions is based on the law in effect prior to June 16, 2022.

accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011).

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

As explained below, Complainant fails to meet this standard with respect to two of the five claims in the Complaint.

III. TWO OF BBY’S CLAIMS SHOULD BE DISMISSED

Two of BBY’s Shipping Act claims should be dismissed because they do not plausibly give rise to an entitlement to relief.

A. Count III of the Complaint Should be Dismissed because BBY Fails to State a Claim Under Section 41104(a)(2)

BBY fails to state a claim for relief under Section 41104(a)(2), which makes it unlawful for a common carrier such as HMM to:

(2) provide service in the liner trade that is—

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract

entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title;

The Complaint does not adequately plead a claim for relief under Section 41104(a)(2) in that it fails to identify a single container that was transported at rates other than those in the Service Contracts or a single charge assessed against BBBY that was not set forth in the Service Contracts or HMM's tariff. Indeed, the Complaint concedes, as it must, that when rate adjustments were agreed upon, they were reflected in amendments to the Service Contracts. *See* Complaint, ¶ 52. Absent an allegation that some specific shipment was moved at a rate not filed in a service contract or tariff, a Section 41104(a)(2) claim cannot survive a motion to dismiss.

BBBY does not allege that shipments were transported at other than contract rates. Rather, BBBY alleges a violation of Section 41104(a)(2) upon HMM's alleged practice of "systematically failing to meet its service commitments to Complainant" and "coercing amendments or premium rate addenda to the Service Contracts..." Complaint ¶ 109. As made clear in the Service Contract language quoted by BBBY, the imposition of additional fees and charges was permissible under the Service Contract if "separately agreed to by Shipper in an amendment to this Contract". Complaint, ¶ 46. Thus, even assuming BBBY's allegations as true for purposes of this motion (which HMM denies), seeking customer consent to an increased rate (or, as BBBY alleges occurred, agreeing to an increase proposed by a customer, Complaint ¶ 35) and documenting same in amendments to the Service Contract did not violate the terms of the Service Contract and does not violate Section 41104(a)(2), which merely prohibits the provision of service at unfiled rates.

In this regard, the predecessor of Section 41104(a)(2) was Section 10(b)(1) of the Shipping Act of 1984. As originally adopted, that section made it unlawful for a carrier to:

[c]harge, demand, collect or receive greater, less, or different compensation for the transportation of property or for any service in connection therewith than the rates and charges that are shown in its tariffs or service contracts.

Public Law 98-237 (March 20, 1984). The present wording of 41104(a)(2) was adopted in 1998.

Public Law 105-258 (October 14, 1998). The 1998 amendments deleted the “demand” language, narrowing the scope of the prohibition to make it clear that the only conduct prohibited by this section of the Act is the provision of service at unfiled/unpublished rates.

Simply put, BBY fails to state a plausible claim for relief under Section 41104(a)(2), because BBY fails to identify any service that was provided other than in accordance with applicable service contract/tariff terms. To the contrary, BBY acknowledges that rate adjustments agreed upon by the parties were reflected in amendments to the Service Contracts. Accordingly, BBY’s Section 41104(a)(2) claim should be dismissed.

B. Count IV Should be Dismissed Because BBY Fails to State a Claim Under Section 41104(a)(10)

BBY fails to state a claim under Section 41104(a)(10), the current version of which makes it unlawful for a carrier such as HMM to:

unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.

However, the version of Section 41104(a)(10) in effect prior to June 16, 2022, which is applicable in this proceeding, merely made it unlawful for a common carrier to:

unreasonably refuse to deal or negotiate.

BBBY alleges that HMM's practices of "systematically failing to meet its service commitments . . . and preferring higher priced carriage of other shippers' cargo, and HMM's acts or omissions that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate" in violation of Section 41104(a)(10). Complaint, ¶ 111. However, HMM did not refuse to deal or negotiate with BBBY, unreasonably or otherwise.³

In interpreting the prohibition against unreasonable refusals to deal, the FMC has stated:

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R.

345, 351 (ALJ 2001), aff'd 29 S.R.R. 1066 (FMC 2002), aff'd *New Orleans Stevedoring*

Company v. Federal Maritime Commission, 30 S.R.R. 1066 (D.C. Cir. 2002)(emphasis added).

More recent decisions confirm that an unreasonable refusal to deal necessarily involves imposition by a common carrier of an unreasonable impediment to a shipper's access to common carriage. *MSRF, Inc. v. HMM Co. Ltd.*, Docket No. 22- 20, 2023 WL 8242695 (ALJ Nov. 22, 2023), citing *Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 88 Fed. Reg. 38789, 38791 (June 14, 2023).

1. HMM's alleged failure to meet service commitments

³ While the entirety of Count IV should be dismissed, HMM notes that it is comprised of what appear to be two distinct claims – 1) a refusal to deal or negotiate with respect to an alleged failure to meet service commitments; and 2) a refusal to deal or negotiate with respect to alleged actions or omissions that led to the assessment of the Charges. HMM therefore addresses each of these claims separately and requests that to the extent either claim is deemed sufficient to survive a motion dismiss, the other claim be considered separately.

BBBY does not argue (nor could it) that HMM engaged in a “shut out”. Rather, the Complaint confirms that HMM communicated regularly with BBBY, made attempts to improve performance, and continued to carry BBBY’s cargo throughout the entirety of the relevant time period. *See e.g.*, Complaint, ¶¶ 48-51. For example, BBBY points to correspondence to HMM on November 23, 2020, wherein BBBY states that “[t]his [week’s] lift appears to be great but it is not consistent . . . [w]e need support into the east coast please advise...”. Complaint, ¶ 33 (emphasis supplied). It then cites a response from HMM on November 24, 2020, stating that “we just don’t have the extra capacity to do more and go above the weekly allocation we put together for December.” *Id.* (emphasis supplied). Whatever inferences may be drawn from these communications, even viewed in the light most favorable to BBBY, what is abundantly clear is that BBBY has not asserted that HMM refused to provide service to BBBY. As such, BBBY’s Section 41104(a)(10) claim should be dismissed.

2. *HMM’s alleged refusal to accommodate BBBY’s requests for a full or partial refund of demurrage and detention charges*

BBBY also argues that HMM’s alleged refusal “to accommodate Complainant’s requests for a full or partial refund of unreasonable demurrage and detention charges . . . constituted unlawful refusals to deal or negotiate.” Complaint, ¶ 94.

As discussed *supra*, however, the FMC has stated that “the Act does not guarantee the right to enter into a contract, much less a contract with any specific terms...” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d* 29 S.R.R. 1066 (FMC 2002), *aff’d New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002).

BBBY's allegations in the Complaint demonstrate that HMM was willing to consider BBBY's request for a full or partial refund of detention and/or demurrage charges ("Charges"). For instance, BBBY alleges that, on October 18, 2021, BBBY "made a formal request for a refund of certain Charges" and "[o]n October 25, 2021, HMM acknowledged this refund request and asked Complainant to provide detailed evidence about the 'inability to timely empty return' as per HMM's dispute process." Complaint, ¶ 87 (emphasis added). These allegations show that HMM acknowledged BBBY's refund request and asked BBBY to provide evidence to support its refund request per HMM's dispute process. Significantly, BBBY makes no allegation that it provided such documentation or that such documentation was not considered by HMM. Rather, BBBY alleges only that HMM "refused to accommodate" its requests for refunds. Complaint, ¶ 88.

In other words, the only thing the Complaint alleges with any specificity is that HMM refused to accept BBBY's requests for refunds. Even if true, this is not a violation of Section 41104(a)(10) of the Shipping Act. Accordingly, BBBY fails to state a prima facie claim that HMM engaged in an unreasonable refusal to deal or negotiate and BBBY's Section 41104(a)(10) claim should be dismissed.

IV. CONCLUSION

For the foregoing reasons, HMM respectfully requests that BBBY's claims under Section 41104(a)(2) and Section 41104(a)(10) be dismissed with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Josh P. H.", is written over a horizontal line.

Joshua Stein
Christopher Raleigh
Rachel Schwartz
Henry Kim

COZEN O'CONNOR
2001 M Street NW
Suite 500
Washington, DC 20036
(202) 463-2500

Dated: January 27, 2026

CERTIFICATE OF SERVICE

I certify that, on January 27, 2026, a true and current copy of the foregoing Partial Motion to Dismiss was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

Karl C. Huth (huth@huthreynolds.com)
Matthew J. Reynolds (reynolds@huthreynolds.com)
Gregory A. Crapanzano II (gcrapanzano@huthreynolds.com)
Joshua Luke Rushing (jlrushing@huthreynolds.com)

Dated: January 27, 2026

/s/ Joshua Stein

Joshua Stein
Cozen O'Connor